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Report Highlights:

Post forecasts Malaysia's palm complex to continue to grow modestly in Market Year (MY) 2026/27, but structural constraints like aging plantations and limited land expansion are expected to remain. Exports are expected to increase on continued price competitiveness relative to soybean oil, while stocks rise slightly as production outpaces demand growth. The soy complex remains fully import-driven, with the United States strengthening and expected to maintain its position as Malaysia's leading soybean supplier. The poultry sector is expected to buoy feed demand, while the swine sector is expected to recover only gradually and remain below pre-ASF levels through MY 2026/27, limiting soybean meal demand.

Executive Summary

Palm Complex

Post forecasts Malaysia's palm oil production in MY 2026/27 at 19.85 million MT, reflecting modest growth supported by improved harvesting efficiency, better fertilizer application, and stable labor availability. With land expansion limited, production gains are increasingly driven by yield improvements rather than planted area growth. MY 2026/27 exports are projected to increase to 15.9 million MT, supported by palm oil's price discount relative to soybean oil and sustained demand from price-sensitive markets. Domestic consumption continues to expand gradually, driven by downstream processing and biodiesel programs. Ending stocks for MY 2026/27 are forecast to increase to 2.59 million MT, as production growth and higher beginning stocks outpace gains in exports and domestic use.

Soy Complex

Malaysia remains fully dependent on imports to meet soybean demand. In MY 2026/27, consumption is forecast at 733 thousand MT, supported by poultry feed demand, while the swine sector continues a gradual recovery but remains structurally constrained. Soybean imports are forecast at 727 thousand MT, aligned with crushing demand. The United States is forecast to remain the primary supplier, while Brazil's share is expected to decline due to domestic biodiesel demand. Stocks are forecast to decline to 45 thousand MT in MY 2026/27 as consumption growth slightly outpaces supply.

Coconut Complex

MY 2026/27 coconut oil consumption is forecast at 105 thousand MT, supported by steady demand from food and industrial applications. Imports remain the primary source of supply and are forecast to decline to 150 thousand MT on high prices that are expected to continue. Ending stocks are projected to fall sharply to 15 thousand MT, reflecting reduced import volumes alongside stable consumption.

Palm Oil

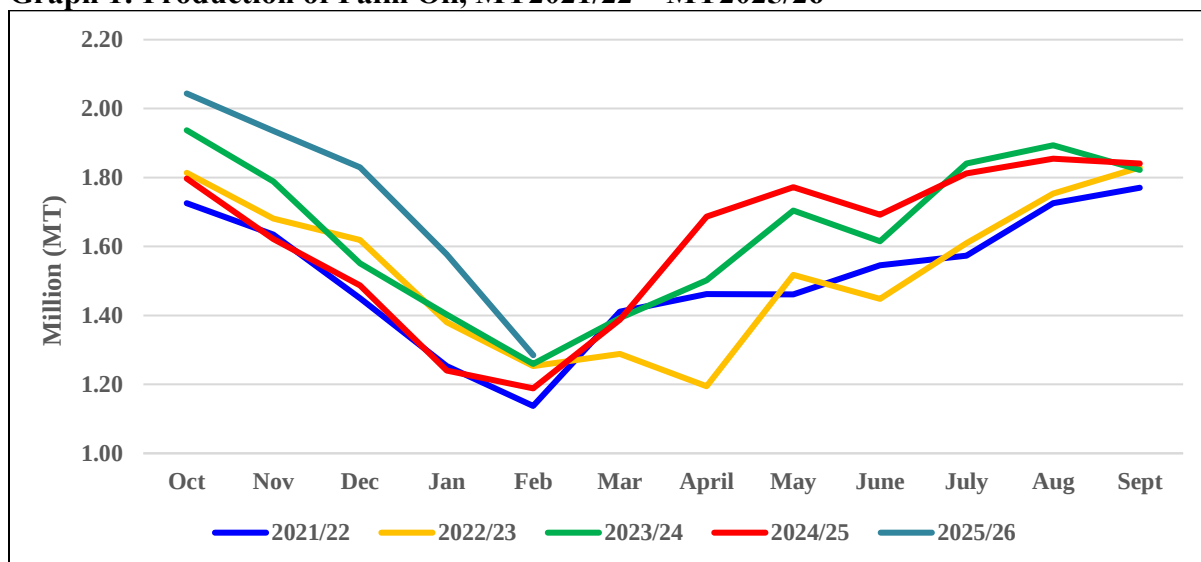
Production

Post forecasts palm oil production in MY 2026/27 at 19.85 million MT, a marginal increase from the previous year as gradual improvements in area harvested, yield, and operational efficiency continue across the plantation sector. Harvested area is forecast to increase slightly to 5.16 million hectares, reflecting small gains in replanting and stable land use policies. With oil palm area largely capped due to sustainability commitments and land availability constraints, future production growth in Malaysia is expected to depend primarily on yield improvements driven by better harvesting efficiency, more consistent fertilizer application, increased replanting, and improved labor availability, which support timely harvesting cycles; rather than an expansion of cultivated land.

Yield is projected to increase modestly to 3.85 MT per hectare in MY 2026/27, supported by improved fertilizer application in the past two marketing years and recovery in plantation maintenance activities including more consistent harvesting cycles as labor availability continues to improve. Weather is assumed to be normal.

Palm oil prices are expected to remain firm in MY 2026/27 supported by sustained global vegetable oil demand and continued biofuel consumption. Currently, price levels, which have remained above RM3,900-RM4,100 (USD966-USD1,015) per MT in early 2026, are sufficient to sustain positive margins for plantation operators.¹ Producers are expected to reinvest gains from strong prices into more frequent maintenance activities, including replanting and fertilizing. This sustained input use, together with improved field upkeep and harvesting efficiency, is expected to support a gradual increase of yields across mature plantations.

Graph 1: Production of Palm Oil, MY2021/22 – MY2025/26



Source: Malaysian Palm Oil Board

¹ Exchange Rate by Bank Negara as of March 31, 2026

Labor availability remains a critical factor influencing production. Oil palm harvesting is highly labor intensive and requires consistent harvesting intervals to prevent fruit losses and maintain oil extraction rates. Labor conditions are expected to remain stable in MY 2026/27, supported by government exceptions to the foreign worker quota for the palm sector². As a result, plantations are expected to maintain harvesting cycles closer to the optimal 10-to-12 day interval, enabling more consistent fresh fruit bunch (FFB) collection and overall production efficiency.

Plantation age structure continues to influence productivity trends. Oil palm trees generally reach peak productivity between 9 and 20 years of age, after which yields gradually decline. Industry estimates that approximately 10 to 15 percent of Malaysia's planted area consists of aging palms older than 25 years, which are considered past their optimal productive lifespan.

Sustaining long-term productivity requires optimal annual replanting of approximately three-to-four percent of planted area. However, actual replanting rates in Malaysia have remained below this level, averaging around 1.5 to 2.0 percent in recent years, with no significant improvement observed through the end of 2025. Replanting activity is constrained by high upfront costs and temporary income loss during the immature period. In addition, periods of strong palm oil prices have discouraged growers from removing mature and old trees, as growers prioritize short-term returns from existing plantations.

Replanting rates are expected to remain below optimal levels in MY 2026/27 at no more than two to three percent as continued firm price conditions reduce the incentive to replant. While government support programs attempt to encourage gradual replanting, structural constraints, particularly cost and income disruption, are expected to keep the replanting rate below the required three to four percent threshold.

Biological risks also remain an ongoing challenge for the sector. The fungal disease Ganoderma continues to affect oil palm plantations across Malaysia and is considered a key structural constraint on long-term productivity. Industry sources indicate that infection rates can reach up to five percent of planted area in some regions, particularly in older estates. The disease weakens infected trees and reduces yields, while also shortening the productive lifespan of plantations. Management strategies typically involve removing infected trees, maintaining sanitation practices, and replanting with more resistant planting materials; however, control remains limited, and the disease continues to constrain yield recovery and long-term productivity in a small portion of fields.

The production estimate in MY 2025/26 is unchanged at 19.7 million MT on strong production figures in the first four months of the MY compared to the previous four marketing years. Production recovery has been supported by improved labor availability, more consistent harvesting cycles, and better plantation management practices following earlier disruptions during the pandemic.

Malaysia has not experienced a significant El Niño-related dry spell during the first half of MY 2025/26, while rainfall distribution has remained relatively well-balanced, avoiding both prolonged drought and excessive flooding through January. Monthly rainfall levels, typically within the range of 150 to 250 mm, have been broadly sufficient to support optimal oil palm growth and FFB development. These conditions improved field accessibility from October-January, enabled timely harvesting, and supported

² Applications for foreign worker quotas opened based on case-by-case needs for 3 sectors - Bahasa

higher milling throughput. However, February 2026 production levels fell sharply due to a holiday season and heavy flooding. While the floods lowered monthly production, this is due to fields being inaccessible and long-term negative production impacts are not forecast.

Production in MY 2024/25 is maintained 19.38 million MT reflecting a gradual recovery from operational disruptions in the plantation sector in the early 2020's and to align with the official data from Malaysian Palm Oil Board (MPOB).

Consumption

Post forecasts domestic consumption in MY 2026/27 at 4.26 million MT, a modest increase compared to the previous year as demand from the downstream processing sector and biodiesel blending programs continues to support domestic utilization.

Domestic consumption growth in Malaysia typically remains gradual because the country's palm oil sector is export-oriented. In periods of firm global prices, there is incentive for supply to be directed to international markets, limiting the volume available for local use and moderating growth in local consumption.

Post's consumption estimate for MY 2025/26 is maintained at 4.2 million MT, reflecting moderate growth in demand from the food manufacturing sector, downstream processing industries, and biodiesel programs.

The total domestic consumption estimate in MY 2024/25 is unchanged at 4.15 million MT.

Industrial Consumption

Industrial consumption is expected to remain the largest component of domestic palm oil utilization. Post forecasts industrial consumption at 3.20 million MT in MY 2026/27, an increase from the previous market year. This estimate is supported primarily by Malaysia's well-developed downstream processing industry. Growth is driven by sustained demand from the oleochemical sector and continued utilization of palm-based inputs in industrial applications.

The country hosts numerous refineries, fractionation plants, and oleochemical facilities that process crude palm oil into higher-value derivatives such as palm olein, palm stearin, fatty acids, fatty alcohols, and glycerine. These downstream industries supply inputs to a wide range of products including detergents, cosmetics, personal care products, and industrial chemicals. Higher utilization rates in these facilities, supported by growing demand for processed palm products and population growth, are driving increased throughput and raising domestic use of crude palm oil as feedstock.

Domestic consumption is also supported by Malaysia's biodiesel blending program, which uses palm oil as a renewable energy feedstock. Biodiesel policies are designed to reduce dependence on fossil fuels while providing an additional outlet for domestic palm oil supply. Uptake and expansion of biofuel policies have been slow in Malaysia. The B10 mandate remains a nationwide baseline for on-road transport while higher blends such as B20 are implemented on a targeted basis by selected transport fleets in three Malaysian cities. In the industrial sector, B7 is common. This mixed implementation continues to support a stable demand base for palm oil within the domestic energy market.

Industrial use of palm oil is also forecast to increase on a budding Sustainable Aviation Fuel (SAF) industry. In October 2025, the first SAF and Hydrotreated Vegetable Oil (HVO) plant in Malaysia became operational with a projected capacity of 420 thousand MT a year.

Food Use

Food use of palm oil is forecast to increase slightly to 950 thousand MT in MY 2026/27. The increase reflects gradual growth in demand from the food processing sector, particularly for use in processed foods, confectionery products, and bakery items due to its relatively low cost, long shelf life, and stability at high cooking temperatures. This increase is also supported by an assumed continuance of steady population and tourism growth.

In addition, domestic food demand is supported by Malaysia's subsidized cooking oil program, which ensures the availability of affordable cooking oil for lower-income households through controlled pricing mechanisms. The Government of Malaysia has implemented more stringent controls on subsidized cooking oil purchase to alleviate fraud concerns, which have increased as used cooking oil (UCO) is now at a premium over subsidized palm cooking oil³.

Food use of palm oil in MY 2025/26 is maintained with previous estimates at 940 thousand MT, reflecting strong anticipated uptake by food manufacturers as palm oil maintained a consistent price discount relative to soybean oil during much of the marketing year. This price advantage encourages substitution toward palm oil, particularly in processed food applications such as bakery, snacks, and frying uses, where cost efficiency remains a key consideration.

Feed and Waste

The feed and waste consumption estimate is forecast to remain relatively small at approximately 110 thousand MT in MY 2026/27. Palm oil itself is rarely used directly in feed formulations; however, palm-based byproducts and derivatives contribute to the animal feed sector, particularly through palm kernel meal produced during palm kernel crushing.

Trade

Imports

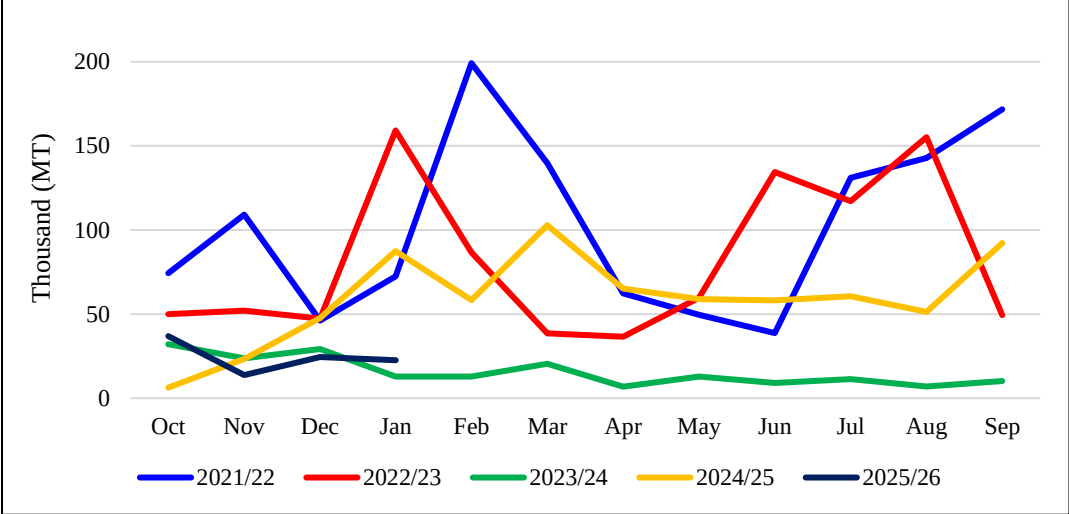
Post forecasts palm oil imports in MY 2026/27 down to 350 thousand MT as domestic production and existing stock levels are expected to be sufficient to support refining and downstream processing requirements. Malaysia is one of the world's largest palm oil producers, and imports represent only a very small share of total supply.

In previous years, Malaysia imported limited volumes of palm oil primarily for refining, blending, or processing purposes. These imports often originated from neighboring producers, particularly Indonesia. However, as domestic production increases and refining capacity can be met by local crude palm oil, import requirements are expected to remain minimal. Additionally, as top competitors, such as Indonesia, expand their biofuel policies, availability of imports is forecast to decrease.

³ [Foreigners barred from buying subsidised cooking oil packets from March 1 | FMT](#)

Palm oil imports in MY 2025/26 are revised downward to 400 thousand MT, reflecting import data in the first quarter of the MY, which is approximately 40 percent lower than the same time period in the previous year, mostly from Indonesia.

Graph 2: Malaysia Monthly Palm Oil Imports, MY2021/22 - MY2025/26



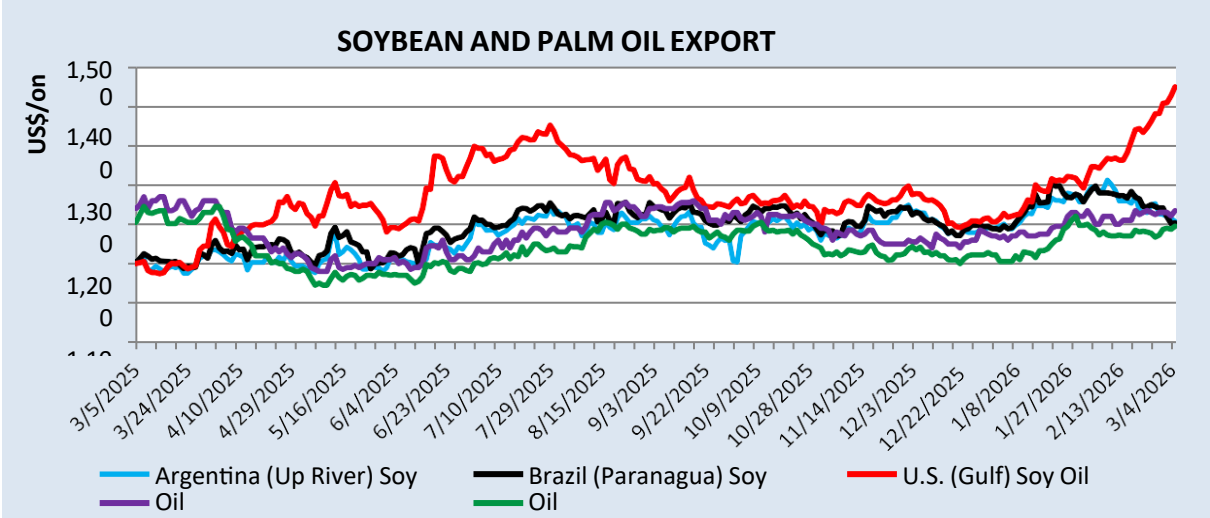
Source: Trade Data Monitor

Exports

Post forecasts Malaysia’s palm oil exports in MY 2026/27 at 15.9 million MT, reflecting an increase in demand from major importing markets on competitive pricing and availability.

Export performance is influenced primarily by global vegetable oil supply conditions, relative price competitiveness among competing oils, and policy developments in major producing countries. The palm oil market is highly integrated with the broader vegetable oil complex, and price movements in soybean oil, sunflower oil, and rapeseed oil often influence purchasing decisions among major importing countries.

Graph 3: Soybean and Palm Oil Export Prices May 2025 – March 2026



Source: United States Department of Agriculture Foreign Agricultural Service (Oilseeds: World Markets and Trade)

Palm oil prices remain generally competitive relative to other major vegetable oils. Based on recent market data, Malaysian palm oil has traded at a consistent discount to U.S. soybean oil and broadly in line with or slightly below South American soybean oil prices. In early 2026, U.S. soybean oil prices strengthened significantly, driven by biofuel demand, widening the price gap and improving palm oil's relative competitiveness in price-sensitive markets.

Looking ahead, palm oil prices are forecast to remain relatively competitive and at a discount to soybean oil, as ample regional supply and consistent production growth in Southeast Asia help moderate price increases. In contrast, soybean oil prices are likely to remain supported by strong biofuel demand in the United States and South America, which could sustain a wider price spread between soybean oil and palm oil. Noting the projected discount to other vegetable oils in MY2026/27, price-sensitive countries like India and Kenya are forecast to be strong consumers.

India continues to represent one of the most important markets for Malaysian palm oil exports due to its large vegetable oil deficit and reliance on imported edible oils. However, demand from India is highly price-sensitive and often fluctuates depending on the price relationship between palm oil and competing oils such as soybean oil and sunflower oil. When palm oil trades at a discount to competing vegetable oils, Indian buyers tend to increase purchases.

China is another major destination for Malaysian palm oil exports, although demand from China can vary depending on domestic consumption trends and the availability of alternative vegetable oils. China's food manufacturing sector uses palm oil in a wide range of processed foods, but buyers can substitute between soybean oil, rapeseed oil, and palm oil depending on relative prices. Stakeholders have shared that in recent years, China has decreased palm oil imports, turning to more soy and canola oil while also increasing domestic production of vegetable oils.

Emerging markets in Africa and the Middle East also represent important growth areas for Malaysian palm oil exports. In Africa, Kenya has emerged as a key destination and has recently become one of the top importing countries, with imports increasing steadily in recent years based on trade data. Kenya relies heavily on palm oil for household cooking and food preparation, making palm oil a staple edible oil. As population growth and urbanization continue, demand for affordable oil palm is expected to remain strong.

Competition from Indonesia remains one of the most significant factors influencing Malaysia's export performance. Indonesia is the world's largest palm oil producer and exporter, producing more than twice the volume of Malaysia. Indonesian production levels, export policies, and biodiesel mandates can significantly influence global palm oil availability and price dynamics. Malaysian palm oil is forecast to continue to sell at a slight discount to Indonesian and become more competitive as Indonesia continues to domestically consume larger amount of palm oil.

While still estimated to increase year over year, Post estimates palm oil exports in MY 2025/26 lower than the previous projection at 15.7 million MT, reflecting only a small demand increase compared to the previous marketing year's first quarter. Early gains in trade to India have only slightly outpaced decreases in palm oil exports to the Netherlands and Philippines.

Export performance in this period remains closely linked to the price competitiveness of palm oil relative to other vegetable oils. Palm oil prices have remained generally competitive and at a slight discount relative to soybean oil compared to the previous marketing year, often trading at a discount to major soybean oil benchmarks, supporting export demand.

The estimate for exports in MY 2024/25 is revised slightly upwards to 15.61 million MT to align with the official data from MPOB.

Stocks

Post forecasts Malaysia's palm oil ending stocks in MY 2026/27 to increase further to 2.59 million MT. Although exports are projected to rise by 200 thousand MT, they are outweighed by increases in production and larger beginning stocks compared to the year prior.

Malaysia's palm oil stock levels are closely linked to export performance because the majority of the country's palm oil production is destined for international markets. When export shipments increase, inventories typically decline as available supply is drawn down by overseas demand. Conversely, slower export activity can lead to stock accumulation even when production levels remain stable.

Geopolitical developments and volatility in global energy markets may also influence palm oil inventory dynamics through expectations of precautionary stockholding and slower export drawdown in the near term. While periods of elevated crude oil prices can increase demand for biodiesel feedstocks, including palm oil, current projections assume that part of this demand is offset by cautious inventory management, as industry players maintain higher buffer stocks amid uncertainty and contribute to a decline in stock levels in Malaysia.

Post estimates higher ending stocks in MY 2025/26 at 2.55 million MT compared to the previous estimate, as an increase in the production estimate outpaced the increased export estimate. The higher inventory level is also partly attributed to precautionary stockholding amid heightened global uncertainty, as authorities and industry players maintained adequate supply buffers to mitigate potential disruptions.

Post estimates slightly lower ending stocks in MY 2024/25, at 2.35 million MT aligning with revisions in trade and consumption.

Table 1: Production, Supply and Distribution for Palm Oil, 2024/25-2026/27

Oil, Palm Market Year Begins Malaysia	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	5600	5145	5600	5150	0	5160
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	2014	2014	2360	2346	0	2548
Production (1000 MT)	19380	19380	20200	19700	0	19850
MY Imports (1000 MT)	748	712	500	400	0	350
Total Supply (1000 MT)	22142	22106	23060	22446	0	22748
MY Exports (1000 MT)	15617	15612	16350	15700	0	15900
Industrial Dom. Cons. (1000 MT)	3100	3100	3150	3150	0	3200
Food Use Dom. Cons. (1000 MT)	940	940	965	940	0	950
Feed Waste Dom. Cons. (1000 MT)	125	108	120	108	0	110
Total Dom. Cons. (1000 MT)	4165	4148	4235	4198	0	4260
Ending Stocks (1000 MT)	2360	2346	2475	2548	0	2588
Total Distribution (1000 MT)	22142	22106	23060	22446	0	22748
Yield (MT/HA)	3.4607	3.7668	3.6071	3.8252	0	3.8469
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Palm Kernel

Production

Post forecasts palm kernel production in MY 2026/27 at 4.66 million MT, reflecting a modest increase compared to the previous marketing year, in line with higher palm oil production and improved milling throughput levels.

Palm kernels are generated during the milling of fresh fruit bunches, and therefore kernel production is directly linked to crude palm oil output rather than separate plantation decisions. Kernel production is influenced primarily by the volume of FFBs processed at palm oil mills. During the milling process, kernels are separated from the shell after crude palm oil extraction. Kernels typically account for roughly five to six percent of FFB weight, meaning that fluctuations in palm oil production directly influence the volume of kernels recovered.

Industry stakeholders also shared that kernel output can also be influenced by milling efficiency and fruit quality conditions in Malaysia. Current conditions reflect improved labor availability for milling activities and growing FFB supply to mills have maintained consistent kernel recovery rates across the industry. As a result, these conditions are projected to support higher palm kernel production in MY 2025/26 and MY 2026/27. However, variations in fruit maturity, harvesting practices, and mill-level processing efficiency continue to pose risks to kernel yield and quality.

The palm kernel production estimate in MY 2025/26 is revised higher to 4.61 million MT, in line with palm oil production levels. Although palm oil production growth faces structural constraints such as aging plantations and limited land expansion, improving harvesting conditions have supported consistent FFB supply to mills.

Production of palm kernel in MY 2024/25 is unchanged at 4.56 million MT.

Consumption

Post forecasts palm kernel consumption in MY 2026/27 at 4.75 million MT, reflecting a slight rise in utilization by the domestic palm kernel crushing industry on higher palm kernel production. In Malaysia, almost all palm kernels produced are directed to crushing facilities where they are processed into palm kernel oil (PKO) and palm kernel meal (PKM). As a result, domestic consumption of palm kernels represent the volume of kernels processed by crushers.

Palm kernel consumption in MY 2025/26 is projected at 4.74 million MT, higher compared to the previous estimate. The increase reflects stronger crushing activity supported by improved availability of FFBs and higher palm oil output.

Crushing facilities process palm kernel into PKO, a lauric oil widely used in the oleochemical industry. Firmer demand for PKO, largely due to favorable pricing in both export and domestic markets, has supported higher utilization rates at crushing facilities. As a result, kernel throughput has exceeded earlier expectations, leading to the upward revision.

Trade

Imports

Post forecasts palm kernel imports down in MY 2026/27 compared to the previous marketing year to 100 thousand MT as the projected increase in production and strong beginning stocks outweighed the increase in crush demand.

Post projects palm kernel imports in MY 2025/26 to increase to 120 thousand MT, reflecting significant increases in imports from Thailand and increased production. Meanwhile, Post maintains the import estimate in MY 2024/25 at 102 thousand MT.

Exports

Post forecasts palm kernel exports in MY 2026/27 to increase slightly to six thousand MT, reflecting a slight increase in total supply. Malaysia's palm kernel industry is highly integrated with the domestic crushing sector, and therefore, most kernels are processed domestically into higher-value products such as PKO and PKM rather than exported in raw form.

Malaysia's strong crushing and downstream processing infrastructure provides incentives to retain kernels within the country for value-added processing. PKO and PKM exports generate higher returns than shipments of raw kernels, making domestic crushing the preferred channel for kernel utilization. Post revises palm kernel exports in MY 2025/26 upwards to five thousand MT, reflecting higher export volumes than the historical trend in the first quarter of the year.

Stocks

Post forecasts palm kernel ending stocks in MY 2026/27 at 274 thousand MT, an increase of four thousand MT from the previous MY. The higher stock level reflects increased in kernel production

which are largely absorbed by higher crushing activity and larger beginning stocks, which outweigh the impact of lower imports.

Stock levels are influenced primarily by the balance between kernel production and crushing capacity utilization. When crushers operate at high utilization rates, kernels are rapidly converted into palm kernel oil and palm kernel meal, preventing large stock accumulation.

Stocks in MY 2025/26 are estimated to increase to 270 thousand MT, reflecting export and consumption forecast increases.

The ending stocks estimate in MY 2024/25 is revised to 285 thousand MT, reflecting an increase total supply estimates.

Table 2: Production, Supply and Distribution for Palm Kernel, 2024/25-2026/27

Oilseed, Palm Kernel Market Year Begins Malaysia	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	5600	5145	5600	5150	0	5160
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	216	216	283	285	0	270
Production (1000 MT)	4561	4560	4880	4610	0	4660
MY Imports (1000 MT)	159	102	50	120	0	100
Total Supply (1000 MT)	4936	4878	5213	5015	0	5030
MY Exports (1000 MT)	3	3	4	5	0	6
Crush (1000 MT)	4650	4590	4950	4740	0	4750
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	4650	4590	4950	4740	0	4750
Ending Stocks (1000 MT)	283	285	259	270	0	274
Total Distribution (1000 MT)	4936	4878	5213	5015	0	5030
Yield (MT/HA)	0.8145	0.8863	0.8714	0.8951	0	0.9031
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Palm Kernel Meal

Production

Post forecasts palm kernel meal (PKM) production in MY 2026/27 at 2.47 million MT, reflecting a modest increase compared to the previous marketing year in line with other palm complex production increases.

Malaysia maintains a well-developed palm kernel crushing sector that processes a large share of domestically produced palm kernels. During the crushing process, kernels are mechanically pressed or solvent-extracted to produce PKO, leaving PKM as the residual product. As a result, PKM output generally moves in tandem with palm kernel crushing activity and the availability of kernels supplied by the palm oil milling sector.

For MY 2025/26, the production estimate has been revised upward to 2.46 million MT, reflecting an increase in the supply estimate of palm kernel and crush.

Consumption

Post forecasts Malaysia's domestic PKM consumption in MY 2026/27 at 58 thousand MT, reflecting a modest increase in utilization within the livestock feed sector. PKM is primarily used as a feed ingredient for ruminant animals, particularly cattle, due to its relatively high fiber content and moderate protein levels.

Malaysia's livestock industry utilizes PKM as a supplementary component in feed formulations rather than as a primary protein source. While PKM cannot fully replace higher-protein feed ingredients such as soybean meal, it is widely used in cattle feed rations where fiber content is beneficial for rumen function. Since 2025, Malaysia has expanded cattle operations, particularly in [Johor](#)⁴ and [Negeri Sembilan](#)⁵ with herd sizes reaching over 3,000 and 7,000 head, respectively, and planned capacity of up to 10,000 and 15,000 head. These expansions are expected to support continued growth in cattle feed demand, particularly for cost-efficient ingredients such as PKM.

Industry stakeholders have also highlighted the growing interest in integrating livestock production into oil palm plantations. While still limited in scale, several pilot and commercial projects have been introduced, typically involving small to medium cattle herds within plantation areas. Such integrated livestock-plantation systems improve land utilization while supporting domestic livestock production.

Despite these domestic uses, Malaysia's livestock sector remains relatively small compared to major global feed markets. As a result, domestic consumption absorbs only a small portion of total PKM production, with most output directed to export markets.

Post projects PKM consumption estimate in MY 2025/26 to decrease slightly to 55 thousand MT, while still maintaining annual growth.

Trade

Imports

Post forecasts Malaysia's PKM imports in MY 2026/27 unchanged from the previous MY, as sufficient domestic production continues to meet feed demand limiting the need for imports.

Domestic PKM production from the palm kernel crushing industry is generally sufficient to meet the needs of Malaysia's livestock feed sector. In some cases, small quantities may be sourced from neighboring palm oil producing countries such as Indonesia.

Post revises PKM imports in MY 2025/26 up to 10 thousand MT, reflecting stronger import volumes in the first four months of the marketing year, which if sustained, are expected to support higher full-year imports.

⁴ Johor import additional 1,000 cattle, increase milk capacity in JDV - Bahasa

⁵ F&N AgriValley received first 2,500 cattle from Chile - Bahasa

Exports

Post forecasts Malaysia's palm kernel meal exports in MY 2026/27 at 2.41 million MT, on total supply outpacing domestic demand. The increase in exports is primarily driven by higher domestic availability following increased palm kernel crushing, supported by stronger import demand from key markets in Northeast Asia. In addition, PKM remains price competitive relative to alternative feed ingredients such as soybean meal, encouraging greater inclusion in feed rations. Malaysia remains one of the world's major suppliers of PKM due to its large palm kernel crushing capacity and consistent kernel supply from the palm oil sector.

PKM exports are largely directed to countries with significant livestock industries that rely on imported feed ingredients to supplement domestic feed production. Major markets include countries in Northeast Asia and Oceania with strong cattle and dairy industries. The product is typically used alongside other feed ingredients such as soybean meal, corn gluten feed, and distillers' grains.

Post estimates PKM exports in MY 2025/26 to increase from the previous estimate to 2.4 million MT, reflecting stronger demand from international livestock feed markets in Northeast Asia, particularly South Korea and Japan, and an increased production estimate. PKM's price competitiveness, consistent supply, and its suitability as a cost-efficient component in ruminant feed supported higher inclusion rates, leading to increased export volumes.

Stocks

Post forecasts PKM ending stocks in MY 2026/27 at 257 thousand MT, up slightly from the previous marketing year as higher production and beginning stocks expand total supply, outpacing a modest increase in exports and domestic consumption.

Post estimates PKM ending stocks in MY 2025/26 to rise to 245 thousand MT, as the increase of the supply estimate exceeded gains in exports and unchanged domestic consumption projections.

The ending stocks estimate for MY 2024/25 is revised downwards to 230 thousand MT, on slightly lower beginning stocks.

Table 3: Production, Supply and Distribution for Palm Kernel Meal, 2024/25-2026/27

Meal, Palm Kernel Market Year Begins Malaysia	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	4650	4590	4950	4740	0	4750
Extr. Rate, 999.9999 (PERCENT)	0.5299	0.5207	0.5026	0.519	0	0.52
Beginning Stocks (1000 MT)	237	237	296	230	0	245
Production (1000 MT)	2464	2390	2488	2460	0	2470
MY Imports (1000 MT)	6	6	4	10	0	10
Total Supply (1000 MT)	2707	2633	2788	2700	0	2726
MY Exports (1000 MT)	2351	2351	2400	2400	0	2410
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	60	52	90	55	0	58
Total Dom. Cons. (1000 MT)	60	52	90	55	0	58
Ending Stocks (1000 MT)	296	230	298	245	0	257
Total Distribution (1000 MT)	2707	2633	2788	2700	0	2726
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Palm Kernel Oil

Production

Post forecasts PKO production in MY 2026/27 at 2.23 million MT, supported by higher palm kernel availability in line with projected gains in palm oil production and sustained crushing activity.

Post revises the PKO production estimate up in MY 2025/26 to 2.22 million MT reflecting improved kernel supply following stronger FFB throughput and a recovery in milling operations compared to earlier expectations. The production estimate in MY 2024/25 is maintained at 2.16 million MT to align with official data by MPOB.

Consumption

Post forecasts PKO consumption in MY 2026/27 at 1.25 million MT, reflecting marginally increasing demand from the country's oleochemical and specialty fats industries.

PKO serves as a key feedstock to produce fatty acids, fatty alcohols, and surfactants used in detergents, cosmetics, personal care products, and industrial cleaning agents. The availability of domestically produced PKO has been a major factor supporting the growth of this industry.

PKO is used in the food processing sector, particularly in the manufacture of specialty fats used in confectionery coatings, fillings, and bakery products. Due to its high saturation and favorable melting characteristics, PKO is commonly used in the production of specialty fat blends and chocolate substitutes.

Post projects domestic consumption unchanged in MY 2025/26 at 1.24 million MT, reflecting the previous expectation that industrial demand and utilization by Malaysia's oleochemical sector will be strong as PKO remains at a discount to coconut oil.

Consumption in MY 2024/25 is revised higher to 1.27 million MT, reflecting steady demand from downstream industries despite fluctuations in global vegetable oil prices.

Trade

Imports

Post forecasts the PKO imports estimate in MY 2026/27 at 180 thousand MT, unchanged from the previous marketing year as imports are required to meet specific oleochemical feedstock requirements not fully met by domestic supply.

Imports are typically used by oleochemical manufacturers or specialty fat producers seeking to secure additional feedstock when domestic supply tightens or when imported PKO becomes competitively priced. Imports of PKO are sourced primarily from neighboring palm oil producing countries, particularly Indonesia and Thailand. These countries maintain active palm kernel crushing industries that produce PKO for regional trade.

Exports

Malaysia remains a major exporter of PKO due to its strong palm kernel crushing capacity and well-established oleochemical industry. PKO exports are driven largely by demand from the chemical manufacturing sector.

Stocks

The MY 2025/26 stocks estimate is revised upwards to 291 thousand MT on a higher supply compared to previous estimates. Conversely, MY2024/25 stocks are revised slightly lower on a reduction of beginning stocks to align with official data.

Oil, Palm Kernel Market Year Begins Malaysia	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	4650	4590	4950	4740	0	4750
Extr. Rate, 999.9999 (PERCENT)	0.4551	0.4715	0.4525	0.4684	0	0.4695
Beginning Stocks (1000 MT)	361	361	245	283	0	291
Production (1000 MT)	2116	2164	2240	2220	0	2230
MY Imports (1000 MT)	142	172	150	180	0	180
Total Supply (1000 MT)	2619	2697	2635	2683	0	2701
MY Exports (1000 MT)	1149	1149	1100	1152	0	1156
Industrial Dom. Cons. (1000 MT)	1100	1140	1125	1125	0	1130
Food Use Dom. Cons. (1000 MT)	125	125	100	115	0	120
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	1225	1265	1225	1240	0	1250
Ending Stocks (1000 MT)	245	283	310	291	0	295
Total Distribution (1000 MT)	2619	2697	2635	2683	0	2701
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Soybean - Oilseed

Production

Malaysia does not grow soybeans commercially due to limited suitable land and resource constraints. The country depends entirely on imports to meet domestic demand.

Consumption

Post forecasts soybean consumption in MY 2026/27 at 733 thousand MT, reflecting higher demand supported by elevated crushing activity and steady requirements from the feed sector.

Malaysia's soybean processing sector produces soybean meal for the animal feed industry and crude soybean oil for food manufacturing. Crushing activity is driven mainly by demand for soybean meal, particularly from the poultry and swine sectors, which remains the largest consumers of compound feed in Malaysia.

Post revises the estimate for consumption in MY 2025/26 downwards to 728 thousand MT noting strong crushing demand and an increase in soybean prices from the United States. Despite Malaysia's poultry self-sufficiency ratio approaching 92 percent, feed demand continues to expand modestly, supporting higher overall utilization.

Food Use

Post forecasts soybean food use for MY 2026/27 slightly up at 175 thousand MT, reflecting marginally increasing demand from manufacturers producing soy-based products such as tofu, soy milk, soy sauce, and other traditional foods as Malaysia's population grows.

Food-grade soybeans are sourced based on quality and protein requirements. Canadian soybeans are often preferred for food applications due to their consistent quality, while other origins are primarily used for crushing.

Food use in MY 2025/26 is maintained at 173 thousand MT, and the estimate for MY 2024/25 is unchanged at 171 thousand MT, indicating gradual growth in demand from the food processors and food service channels, supported by population growth and continued consumption of staple soy products.

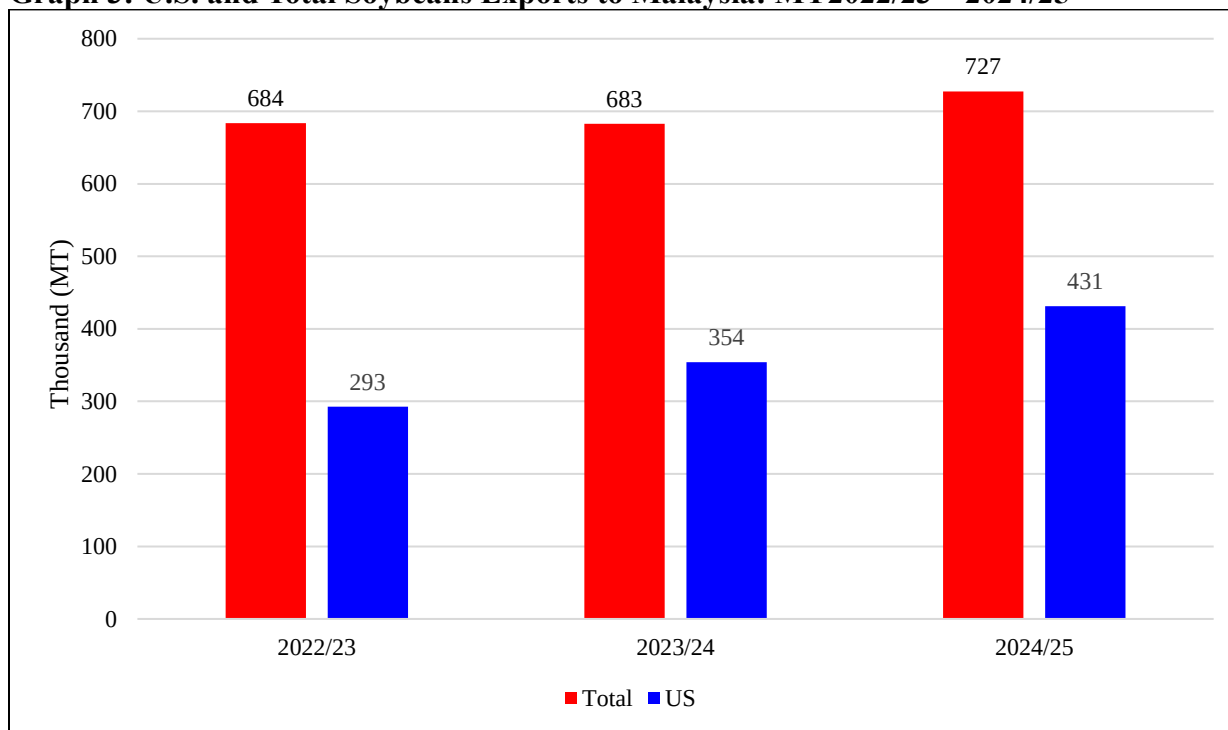
Trade

Imports

Post forecasts soybean imports in MY 2026/27 to increase to 727 thousand MT, reflecting increased demand from the domestic crushing industry and food manufacturing sector. Import volumes remain closely aligned with crushing requirements and feed demand.

Malaysia sources soybeans primarily from the United States, which accounts for more than 50 percent of total imports, followed by Canada and Brazil. Recently, imports from Brazil have declined as a larger share of Brazilian soybean production is diverted toward domestic crushing for biodiesel feedstock, reducing export availability.

Graph 3: U.S. and Total Soybeans Exports to Malaysia: MY2022/23 – 2024/25



Source: Trade Data Monitor

U.S. soybeans are generally preferred by crushers due to their reliable supply and consistent processing performance. However, industry contacts highlight variability in protein in some shipments from South American origins can affect feed formulation outcomes. Purchasing decisions are influenced by oil content, protein levels, and amino acid profiles rather than price alone, as these factors directly impact crushing margins and feed formulation efficiency.

Post revises the MY 2025/26 imports estimate slightly lower to 725 thousand MT reflecting increased soybean prices from main suppliers.

Exports

Post forecasts MY 2026/27 soybean exports at eight thousand MT, unchanged from the previous MY. Malaysia exports limited quantities of soybeans, as the country functions primarily as a processing and consumption market. Most imported soybeans are processed domestically and used directly by the food sector. As a result, re-exports remain minimal and typically involve small volumes redistributed to neighboring markets, particularly Indonesia.

Post revises the export estimate downwards in MY 2025/26 to eight thousand MT, reflecting low re-export volumes during the first quarter of the marketing year.

Stocks

Post forecasts soybean ending stocks in MY 2026/27 at 45 thousand MT, reflecting a modest decline from the previous MY as domestic consumption growth combines with a decrease in total supply.

Post revises the ending stock estimate for MY 2025/26 downwards to 59 thousand MT, as consumption revisions outpaced supply estimate changes. The stocks estimate for MY 2024/25 is revised down to 70 thousand MT. Despite higher beginning stocks and imports, upwards revision to domestic consumption exceeded available supply, resulting in a drawdown of inventories.

Table 5: Production, Supply and Distribution for Soybean, 2024/25-2026/27

Oilseed, Soybean Market Year Begins Malaysia	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	74	74	81	70	0	59
Production (1000 MT)	0	0	0	0	0	0
MY Imports (1000 MT)	727	727	775	725	0	727
Total Supply (1000 MT)	801	801	856	795	0	786
MY Exports (1000 MT)	10	10	15	8	0	8
Crush (1000 MT)	500	510	525	515	0	518
Food Use Dom. Cons. (1000 MT)	170	171	180	173	0	175
Feed Waste Dom. Cons. (1000 MT)	40	40	40	40	0	40
Total Dom. Cons. (1000 MT)	710	721	745	728	0	733
Ending Stocks (1000 MT)	81	70	96	59	0	45
Total Distribution (1000 MT)	801	801	856	795	0	786
Yield (MT/HA)	0	0	0	0	0	0
(1000 HA) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Soybean Meal

Production

Post forecasts soybean meal production in MY 2026/27 at 415 thousand MT, reflecting marginally increasing soybean crushing activity. Soybean meal production in Malaysia is derived entirely from the processing of imported soybeans, as the country does not produce soybeans. The gradual increase in extraction rates reflects improvements in crushing efficiency and the use of higher-quality imported soybeans with more consistent oil and protein content. These factors have enabled crushers to achieve slightly higher meal recovery rates over time.

While crushing capacity remains underutilized at approximately 60 percent, processors maintain flexibility to adjust output in response to changes in market conditions and feed demand.

The production estimates for MY 2025/26 and MY2024/25 are unchanged.

Consumption

Post forecasts Malaysia's soybean meal consumption in MY 2026/27 to remain unchanged at 1.65 million MT compared to the previous MY, as slow growth in demand from the poultry industry is neutralized by expected continued contraction in the swine sector. Soybean meal remains the primary protein ingredient in compound feed formulations due to its high protein content, balanced amino acid profile, and consistent availability in global markets.

Soybean meal consumption in Malaysia is driven primarily by the poultry sector, which represents the largest segment of the country's livestock industry. Poultry producers rely heavily on soybean meal as a key protein source in feed rations for broiler and layer production. Poultry feed demand is expected to grow at a slow pace as Malaysia's self-sufficiency ratio (SSR) for poultry is more than 92 percent, limiting further expansion in production and associated feed use. On the other hand, export demand remains limited as Malaysia is not a major exporter but is expected to continue growing at a moderate pace.

Malaysia's feed manufacturing industry is well developed, with large integrated poultry companies operating modern feed mills at commercial scale. These facilities incorporate soybean meal alongside corn and other feed ingredients to meet nutritional requirements and maintain production efficiency.

In contrast, the swine sector in West Malaysia continues to operate below previous levels due to farm closures and African Swine Fever (ASF) outbreaks, particularly in Penang which is among the top pork-producing states in Malaysia. These disruptions have led to herd losses and delayed restocking, constraining feed demand recovery and limiting overall growth in soybean meal consumption. While some restocking has taken place, recovery remains uneven due to persistent biosecurity concerns, stricter regulatory controls, and farm closures, particularly in key producing states such as Selangor and Penang. In Selangor, which is the second largest producing state, authorities have indicated that [no new pig farms will be approved, and existing farms are expected to gradually phase out](#).⁶ As a result, overall herd levels are expected to remain below pre-ASF levels.

In contrast, Sabah and Sarawak have experienced fewer disruptions and have shown modest recovery in swine production. However, their smaller scale limits their ability to offset declines in West Malaysia. Overall, the swine sector continues to contribute less to feed demand growth compared to previous years.

Post revises the MY 2025/26 consumption estimate downwards to 1.65 million MT from the previous estimate, reflecting lower feed demand from the swine sector compared to earlier projections, which more than offset demand from poultry producers.

Trade

Imports

Post forecasts Malaysia's soybean meal imports unchanged for MY 2026/27 at approximately 1.33 million MT, as modest gains in domestic crushing output are not sufficient to offset Malaysia's reliance on imported soybean meal to meet specific feed formulation requirements and ensure consistent supply, rather than for stock accumulation.

Malaysia sources soybean meal primarily from Argentina. Argentine soybean meal is widely used by Malaysian feed millers because of its price competitiveness relative to other origins. Brazil also supplies soybean meal to Malaysia, although export volumes fluctuate depending on domestic crushing demand

⁶ Selangor to ban pig farming, shuts all existing farms following Sultan's decree

and logistical factors. In contrast, U.S. soybean meal exports to Malaysia remain limited, as U.S. product typically trades at a price premium compared to South American supplies.

Price competitiveness remains the key determinant in sourcing decisions. When global soybean prices decline or crushing margins improve, feed millers may increase soybean imports for domestic crushing in place of imported soybean meal, depending on relative cost advantages.

Post maintains the import estimate for MY 2025/26 at 1.33 million.

Exports

Post forecasts MY 2026/27 soybean meal exports at 80 thousand MT, a decline from the previous MY, reflecting Malaysia's role primarily as a domestic feed consumption market with exports limited to small, opportunistic regional trade flows.

Occasional exports occur when traders redistribute small volumes to neighboring countries, particularly Indonesia, reflecting short-term regional trade flows. However, these shipments account for only a small share of total soybean meal supply.

Post revises the estimate for exports in MY 2025/26 upwards to 90 thousand MT reflecting strong trade figures in the first quarter of the market year.

Stocks

Post forecasts ending stocks in MY 2026/27 at 188 thousand MT, an increase over the previous year from a higher supply estimate and decrease in export projection.

Post estimates MY 2025/26 soybean meal stocks at 173 thousand, an upward revision from the previous estimate, as higher production more than offsets lower imports. the MY 2024/25 stocks estimate is raised to 173 thousand MT as revisions in production outpaced unchanged total consumption.

Table 6: Production, Supply and Distribution for Soybean Meal, 2024/25-2026/27

Meal, Soybean Market Year Begins Malaysia	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	500	510	525	515	0	518
Extr. Rate, 999.9999 (PERCENT)	0.786	0.7843	0.7867	0.7961	0	0.8012
Beginning Stocks (1000 MT)	87	87	130	173	0	173
Production (1000 MT)	393	400	413	410	0	415
MY Imports (1000 MT)	1426	1426	1400	1330	0	1330
Total Supply (1000 MT)	1906	1913	1943	1913	0	1908
MY Exports (1000 MT)	80	80	70	90	0	80
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	1696	1660	1725	1650	0	1650
Total Dom. Cons. (1000 MT)	1696	1660	1725	1650	0	1650
Ending Stocks (1000 MT)	130	173	148	173	0	188
Total Distribution (1000 MT)	1906	1913	1943	1913	0	1908
(1000 MT) ,(PERCENT)						

OFFICIAL DATA CAN BE ACCESSED AT: [PSD Online Advanced Query](#)

Soybean Oil

Production

Post forecasts Malaysia's soybean oil production in MY 2026/27 at 93 thousand MT, a slight increase compared to the previous year, reflecting increased soybean crushing activity. Soybean oil production in Malaysia is derived entirely from domestically crushed imported soybeans, as the country does not produce soybeans commercially.

Soybean oil plays a limited role in Malaysia's edible oil market since the country remains the world's second-largest producer of palm oil, which dominates domestic consumption due to its price competitiveness and wide availability.

Post revised the estimate for MY 2025/26 soybean oil production down to 92 thousand MT on a slightly lowered crush estimate, while production in MY2024/25 is maintained at 91 thousand MT.

Consumption

Post forecasts Malaysia's soybean oil consumption in MY 2026/27 at approximately 77 thousand MT, unchanged from previous MY, reflecting stable demand from the food manufacturing sector. Soybean oil is used primarily in processed foods, snack production, and food service applications requiring neutral flavor and specific functional properties.

However, soybean oil accounts for only a small share of Malaysia's edible oil consumption. Palm oil remains the dominant cooking oil due to its abundant domestic supply, lower cost, and suitability for high-temperature applications.

Malaysia's subsidized cooking oil program further reinforces palm oil's dominance by ensuring the availability of low-cost refined palm oil for household consumption. As a result, soybean oil demand is concentrated mainly in industrial food processing rather than household use.

Global market developments also influence soybean oil consumption patterns. Increasing diversion of soybean oil toward biodiesel production in major producing countries, particularly the United States and Brazil, has tightened global supply and contributed to price volatility. Higher prices are projected to limit substitution toward soybean oil in price-sensitive markets such as Malaysia.

MY 2025/26 consumption is revised down slightly to 77 thousand MT on a decrease in production and crush estimate.

Trade

Imports

Post forecasts soybean oil imports in MY 2026/27 at 92 thousand MT, a reduction of four thousand MT from the previous MY, as higher domestic palm oil availability and a persistent price spread favoring palm oil over soybean oil reduce substitution demand from food processors and limit import requirements.

Soybean oil prices have remained elevated relative to palm oil in recent months, with U.S. soy oil values trending higher due to strong biofuel demand and firm crude oil prices, while palm oil prices have remained comparatively lower. This persistent price spread has reinforced palm oil’s cost advantage in Malaysia, reducing substitution toward soybean oil and contributing to lower import demand.

Post revises the MY 2025/26 soybean oil import estimate up to approximately 96 thousand MT from strong trade with China and Taiwan during the earlier months of the MY.

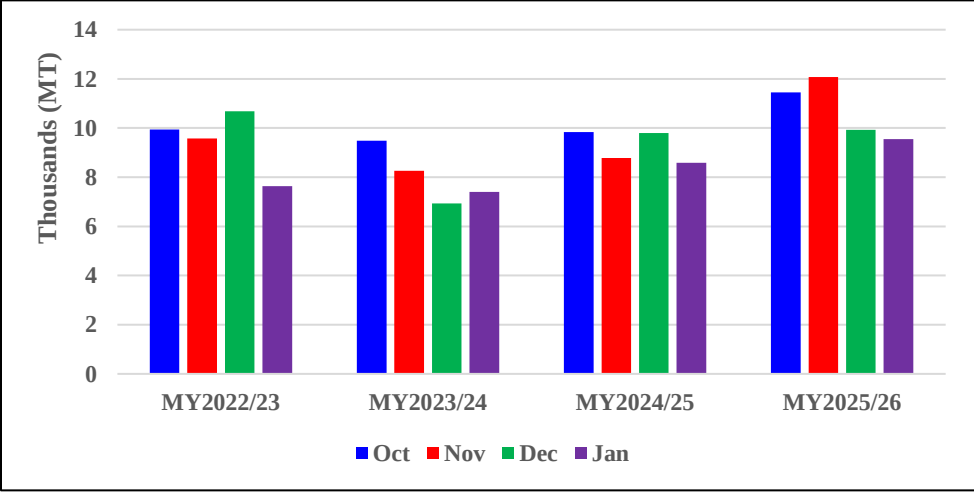
Exports

Post forecasts exports in MY 2026/27 at 110 thousand MT slightly lower than the previous MY, reflecting projected lower supply and unchanged domestic demand.

While export volumes are limited compared to palm oil, Malaysia maintains some level of regional distribution due to its established refining and trading infrastructure, primarily to Indonesia and the Philippines. Most domestically produced soybean oil is utilized within the food processing sector, limiting export availability.

Post revises the MY 2025/26 soybean oil export estimate upwards to 113 thousand MT on strong exports in the earlier months of the marketing year.

Graph 3: Malaysia Soybean Oil Export Trends (Oct-Jan), MY2022/23 – MY2025/26



Source: Trade Data Monitor

Stocks

Post forecasts Malaysia’s soybean oil ending stocks lower in MY 2026/27 compared to previous MY at four thousand MT, on lower total supply.

Post estimates MY 2025/26 soybean oil ending stocks to reduce to six thousand MT on higher exports, while stocks for MY 2024/25 are reduced to eight thousand MT from the on higher beginning stocks to align with USDA official projections.

Table 7: Production, Supply and Distribution for Soybean Oil, 2024/25-2026/27

Oil, Soybean Market Year Begins Malaysia	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	500	510	525	515	0	518
Extr. Rate, 999.9999 (PERCENT)	0.18	0.1784	0.179	0.1806	0	0.1795
Beginning Stocks (1000 MT)	16	16	6	8	0	6
Production (1000 MT)	90	91	94	92	0	93
MY Imports (1000 MT)	92	92	90	96	0	92
Total Supply (1000 MT)	198	199	190	196	0	191
MY Exports (1000 MT)	112	112	100	113	0	110
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	80	79	85	77	0	77
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	80	79	85	77	0	77
Ending Stocks (1000 MT)	6	8	5	6	0	4
Total Distribution (1000 MT)	198	199	190	196	0	191
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Copra

Production

Post forecasts Malaysia's copra production in MY 2026/27 at 30 thousand MT, unchanged from previous marketing years. Output remains stable, reflecting steady coconut harvesting with no significant expansion in planted area and assumed normal weather conditions. Area harvested is estimated unchanged from previous years and estimates as plantations producing copra are minimal in Malaysia's landscape, significantly lower from area harvested ten or more years ago. In the last twenty years, Malaysia's government has placed a stronger focus on increasing production and area of palm plantations, thus gradually reducing the incentive to farm copra.

Production is constrained by structural factors, including aging tree profiles, limited replanting, and competition for land from more profitable crops such as oil palm and durian. As a result, copra output remains small.

Consumption

Post forecasts copra consumption in MY 2026/27 at 33 thousand MT, a slight decline from the previous MY. Copra in Malaysia is almost entirely processed through crushing to produce coconut oil and copra meal.

Crush is forecast at 33 thousand MT, in line with total available supply, indicating that nearly all copra is utilized for oil extraction. Copra meal produced as a by-product is used primarily in livestock feed formulations, particularly for ruminants, while coconut oil is directed toward food processing and industrial uses.

Feed and residual use remains negligible, as most copra is processed through formal industrial channels with minimal losses.

Post estimates MY 2025/26 consumption at 35 thousand MT, slightly higher due to an increased import projection.

Trade

Imports

Post forecasts copra imports in MY 2026/27 at three thousand MT, as domestic production is largely sufficient to meet processing requirements. Imports of copra are generally limited and occur only when short-term supply gaps arise or when regional prices are competitive. Malaysia sources small volumes from regional suppliers such as Indonesia and the Philippines when needed, but overall import dependence remains low.

Post revises the estimate upwards for imports in MY 2025/26 to three thousand MT having strong trade in the first quarter of the MY. The imports estimate in MY 2024/25 is revised upwards to five thousand MT, to align with official data.

Exports

Malaysia does not export copra in significant volumes, as nearly all domestically available supply is consumed by local crushing activities.

Post forecasts MY 2026/27 exports at zero, unchanged from MY 2025/26 and MY 2024/25, reflecting Malaysia's position as a domestic processing market rather than an export-oriented supplier of copra.

Stocks

Post forecasts Malaysia's copra ending stocks in MY 2026/27 at two thousand MT, as total supply is projected to outweigh total consumption.

The ending stocks estimate for MY 2025/26 is revised upwards to two thousand MT from a higher beginning stock estimate. MY 2024/25 stocks are revised upwards to four thousand MT reflecting an increase in import figures compared to the previous projection. The presence of small stockholding reflects the small scale of the industry and the continuous flow of copra into crushing activities.

Table 8: Production, Supply and Distribution for Copra, 2024/25-2026/27

Oilseed, Copra Market Year Begins Malaysia	2024/2025		2025/2026		2026/2027	
	Jan 2025		Jan 2026		Jan 2027	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	114	68	114	68	0	68
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	0	0	0	4	0	2
Production (1000 MT)	29	30	29	30	0	30
MY Imports (1000 MT)	5	5	1	3	0	3
Total Supply (1000 MT)	34	35	30	37	0	35
MY Exports (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	34	31	30	35	0	33
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	34	31	30	35	0	33
Ending Stocks (1000 MT)	0	4	0	2	0	2
Total Distribution (1000 MT)	34	35	30	37	0	35
Yield (MT/HA)	0.2544	0.4412	0.2544	0.4412	0	0.4412
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Coconut Oil

Production

Post forecasts Malaysia's coconut oil production in MY 2026/27 at 19 thousand metric tons (MT), unchanged from the previous marketing year. Production remains stable, reflecting consistent copra supply and steady crushing activity.

Coconut oil production in Malaysia is derived from copra, with output closely linked to the availability of coconuts. Given structural constraints in the coconut sector, including limited replanting and aging trees, production growth remains constrained.

Consumption

Post forecasts Malaysia's coconut oil consumption in MY 2026/27 at 105 thousand MT, unchanged from the previous MY, reflecting stable demand from both food and industrial applications and the assumption coconut oil will remain at a price premium compared to substitute oils. Coconut oil is used in food processing, confectionery, bakery products, and traditional cooking, as well as in non-food sectors such as personal care and cosmetics.

Industrial use accounts for a significant portion of consumption, estimated at 75 thousand MT, including applications in food manufacturing and oleochemical processing. Food use is forecast at 30 thousand MT, reflecting consistent demand from traditional and niche food segments. Despite steady demand, coconut oil remains a secondary edible oil in Malaysia, as palm oil dominates the domestic market due to its lower cost and wider availability.

Post revises MY 2025/26 consumption downwards to 105 thousand MT on a lower import estimate.

Trade

Imports

Post forecasts Malaysia's coconut oil imports in MY 2026/27 at 150 thousand MT, lower than the previous MY due to continued reduced purchasing amid elevated prices. Imports remain the primary source of supply, given limited domestic production capacity.

Malaysia sources coconut oil mainly from regional producers such as Indonesia and the Philippines, which benefit from larger coconut industries and more competitive production.

Post finalized imports estimate for MY2024/25 based on official data at 159 thousand MT
To align with high prices and trade data trends from the first quarter.

Exports

Post forecasts Malaysia's coconut oil exports unchanged in MY 2026/27 at 90 thousand MT, reflecting steady regional demand and re-export activity. Malaysia functions partly as a trading hub, re-exporting limited amounts of coconut oil to neighboring markets.

Exports are primarily destined for regional markets, supported by established trade flows within Southeast Asia. However, export volumes remain small compared to palm oil, which dominates Malaysia's vegetable oil export sector.

Post revises the estimate for MY 2025/26 exports down to 90 thousand MT reflecting more constricted trade as coconut oil price premiums continue into the initial months of the year.

The export estimate in MY 2024/25 is reduced to 101 thousand MT to align with official data.

Stocks

Post forecasts Malaysia's coconut oil ending stocks in MY 2026/27 at 45 thousand MT, down from the previous year, as lower beginning stocks and reduced import volumes are insufficient to offset steady domestic consumption.

Ending stocks in MY 2025/26 are estimated at 71 thousand MT, revised downward from earlier estimate, reflecting a significant reduction in import volumes while domestic consumption remains relatively unchanged.

Post revises MY 2024/25 ending stocks downward to 88 thousand MT, reflecting lower-than-expected imports, which reduced total supply despite steady domestic consumption.

Table 9: Production, Supply and Distribution for Coconut Oil, 2024/25-2026/27

Oil, Coconut Market Year Begins Malaysia	2024/2025		2025/2026		2026/2027	
	Jan 2025		Jan 2026		Jan 2027	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	34	31	30	35	0	33
Extr. Rate, 999.9999 (PERCENT)	0.5294	0.6129	0.6	0.5429	0	0.5758
Beginning Stocks (1000 MT)	166	166	127	88	0	71
Production (1000 MT)	18	19	18	19	0	19
MY Imports (1000 MT)	159	159	190	159	0	150
Total Supply (1000 MT)	343	344	335	266	0	240
MY Exports (1000 MT)	101	101	145	90	0	90
Industrial Dom. Cons. (1000 MT)	75	125	50	75	0	75
Food Use Dom. Cons. (1000 MT)	40	30	40	30	0	30
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	115	155	90	105	0	105
Ending Stocks (1000 MT)	127	88	100	71	0	45
Total Distribution (1000 MT)	343	344	335	266	0	240
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Copra Meal

Production

Post forecasts Malaysia's copra meal production lower in MY 2026/27 to 10 thousand MT, as production is directly tied to copra crushing activity.

Given the limited scale of copra processing in Malaysia, copra meal production remains modest and does not show significant growth potential. The sector operates primarily to supply domestic feed demand rather than export markets.

Post revises production in MY2025/26 upwards to 11 thousand from a higher crushing activities.

Consumption

Post forecasts copra meal consumption in MY 2026/27 to remain unchanged at nine thousand MT compared to previous MY, reflecting unchanged demand from the livestock feed sector. Copra meal is primarily utilized as a secondary feed ingredient, with inclusion levels determined by relative price competitiveness against alternative feed inputs. Its higher fiber content and lower protein levels limit widespread use in poultry feed, with demand concentrated in niche applications and ruminant feed formulations.

Post estimates MY 2025/26 consumption at nine thousand MT, slightly lower than the previous estimate due to a higher projected price. The estimate for MY 2024/25 is revised lower to nine thousand MT, reflecting shrinking adjustments in feed utilization.

Trade

Imports

Post forecasts Malaysia's copra meal imports in MY 2026/27 to be marginal, unchanged from the previous year at less than one thousand MT. Domestic production is sufficient to meet the low demand, locally and internationally.

Post revises MY 2025/26 import estimates to zero reflecting limited reliance on external supply in line with historical trends.

Post revises MY2024/25 imports to zero based on official data.

Exports

Post forecasts MY 2026/27 exports at one thousand MT, unchanged as previous MY, reflecting limited and irregular trade flows. Post revises MY 2024/25 exports to zero consistent with historically low trade volumes.

Stocks

Post forecasts Malaysia's copra meal ending stocks in MY 2026/27 at two thousand MT, remain unchanged from previous MY reflecting stable supply demand conditions.

Post revises MY 2024/25 ending stocks downward to one thousand MT from the previous estimate of two thousand MT, reflecting lower imports during the marketing year.

Table 10: Production, Supply and Distribution for Copra Meal, 2024/25-2026/27

[illegible]

Attachments:

No Attachments